

Financial Market Inflation Expectations

—— 10/2023



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I. SUMMARY

Fifteen domestic and three foreign analysts sent in their contributions to the regular survey of financial market inflation expectations in October. The current data suggest that the average one-year inflation forecast edged up, while it was slightly revised downwards at the three-year horizon. The outlook for economic growth this year and the next is also lower. The vast majority of the respondents expect the November meeting not to change key interest rates, but this time four analysts already expect them to be lowered by 25 basis points. The forecast for the koruna exchange rate was affected by the weakening observed in recent weeks. A slight appreciation is expected at the one-year horizon. The outlook for nominal wage growth this year and the next is less optimistic than in the previous survey, with the estimate for this year recording a relatively large shift.

DOMESTIC ANALYSTS	I.	II.	III.	IV.	V.	VI.	VII.	VIII.	IX.	X.	XI.	XII.
Jiří Polanský, Česká spořitelna	+	+		+	+	+	+	+	+	+		
David Marek, Deloitte Czech Republic	+	+	+	+	+	+	+	+	+	+		
Jan Vejmělek, Komerční banka	+	+	+	+	+	+	+	+	+	+		
Patrik Rožumberský, Unicredit Global Research	+	+	+	+	+	+	+	+	+	+		
Helena Horská, Vratislav Zámeš, Raiffeisenbank	+	+	+	+	+	+	+	+	+	+		
Petr Dufek, Banka CREDITAS	+	+	+	+	+	+	+	+	+	+		
Petr Sklenář, J&T Banka	+	+	+	+	+	+	+	+	+	+		
Radomír Jáč, Generali Investments CEE	+	+	+	+	+	+	+	+	+	+		
Jaromír Šindel, Citi	+		+			+	+	+	+	+		
Kamil Kovář, Moody's Analytics	+	+	+		+	+		+	+	+		
Jan Kudláček, Tomáš Lébl, Patrick Vyroubal, UNIQA	+	+	+	+	+	+	+	+	+	+		
Jakub Seidler, ČBA	+	+	+	+	+	+	+			+	+	
Lukáš Kovanda, Trinity Bank	+	+	+	+	+	+	+	+	+	+		
Michal Šoltés, RoklenFin	+	+	+	+	+	+	+	+	+	+		
Martin Janičko, MND	+	+	+	+	+	+	+	+	+	+		
Jan Bureš, ČSOB		+	+	+	+	+	+		+			
FOREIGN ANALYSTS												
Basak Edizgil, Goldman Sachs		+	+	+	+		+		+	+		
Sili Tian, The Economist Intelligence Unit	+	+		+	+		+	+		+		
Jose A. Cerveira, Henry Burdon, JP Morgan	+	+	+	+	+	+	+	+	+	+		

We would like to thank everyone who contributed to this survey of financial market inflation expectations.

Prague, 23 October 2023

II. INFLATION

FORECAST FOR Y/Y CPI GROWTH

(%)

October 2023	CPI	
	1Y	3Y
minimum	1.8	2.0
average	2.8	2.3
maximum	4.1	3.5

1Y AND 3Y FORECAST FOR CPI GROWTH

(%)

Date of Prediction	ANALYSTS		CNB (%)
	1Y	3Y	1Y
X.22	6.2	2.7	
XI.22	7.3	2.5	4Q: 4.2
I.23	4.8	2.6	
II.23	3.8	2.7	1Q: 2.3
IV.23	3.5	2.6	
VI.23	3.1	2.5	2Q: 2.1
IX.23	2.7	2.4	3Q: 1.9
X.23	2.8	2.3	4Q: 2.8

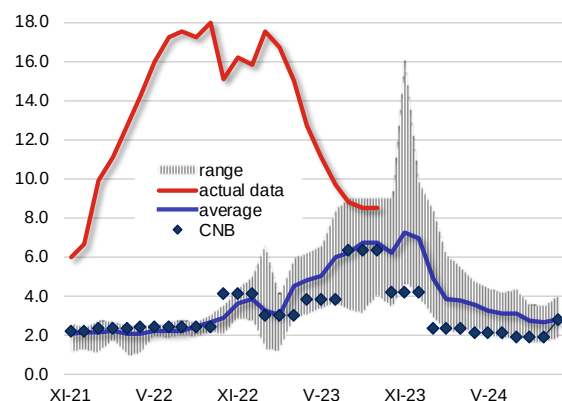
September inflation was a surprise due to the speed of its decline. The annual rate of change in the consumer price index slowed to 6.9%. This is 1.6 percentage points lower than in August and also its lowest level since December 2021. The CZSO stated that the growth in prices had slowed mainly in the categories of food, housing and energy. In month-on-month terms, consumer prices even declined by 0.7%. This was mainly due to price reductions for package holidays at the end of the summer season. Although the magnitude of the slowdown in inflation surprised many analysts (given the rise in fuel prices, among other things), the average one-year forecast in our survey paradoxically increased by 0.1 percentage point to 2.8%. By contrast, the three-year outlook is 0.1 percentage point lower than a month ago and currently stands at 2.3%. The range of individual annual estimates widened due to faster growth in the maximum estimate. The extreme values of the three-year forecasts did not change and so their spread also remained the same.

Base effects, subdued household consumption and lower food and energy prices are gradually pushing inflation towards the CNB's 2% target. However, it is still a long way off, and year-on-year price growth is likely to move away from it temporarily in the last quarter. This is not due to fundamental developments, but rather to the impact of last year's introduction of the energy savings tariff, which manifested itself statistically as a sharp fall in electricity prices and created a lower base for this year. Inflation is expected to slow markedly at the start of next year and then gradually reach the tolerance band. The risks are perceived as going in both directions. There is a significant degree of uncertainty associated with developments in food, energy and fuel prices due to the global factors affecting the oil market. A deterioration of the labour market and expected fiscal consolidation could have an anti-inflationary effect.

The CNB's autumn forecast expects consumer prices to rise by 2.8% year on year in 2024 Q4.

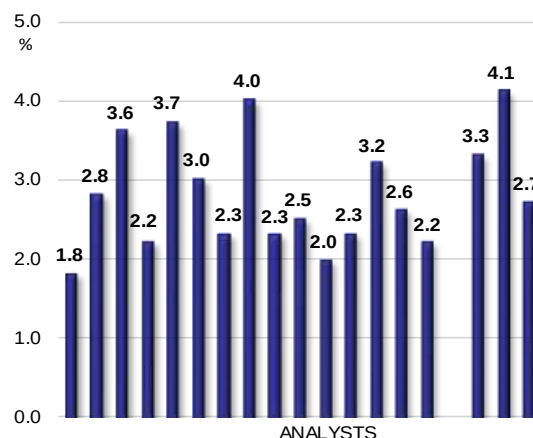
CONSUMER PRICE INDEX

ACTUAL DATA AND 1Y PREDICTIONS OF ANALYSTS (AVERAGE) AND OF CNB (%)



CONSUMER PRICE INDEX AT 1Y

PREDICTIONS OF INDIVIDUAL ANALYSTS (%)



III. GROSS DOMESTIC PRODUCT

FORECAST FOR GDP GROWTH

(%)

October 2023	current year	current+ 1Y
minimum	-0.3	0.8
average	0.0	2.1
maximum	0.2	3.0

FORECAST FOR GDP GROWTH

(%)

Date of Prediction	current year	current+1Y
X.22	2.4	0.7
XI.22	2.4	0.0
I.23	0.0	2.4
II.23	0.2	2.6
IV.23	0.1	2.6
VI.23	0.3	2.5
IX.23	0.1	2.3
X.23	0.0	2.1

The CZSO has revised its GDP data for 2023 Q2 downwards. According to the updated data, the domestic economy was flat in quarter-on-quarter terms, and recorded a year-on-year decline of 0.6%. The analysts in our survey also revised their forecasts to less optimistic levels. On average, they now expect GDP to be flat for this year as a whole, but still expect growth of 0.1% in September. The expected acceleration in economic activity next year was also moderated, with GDP expected to grow by 2.1% year on year, 0.2 percentage point lower than a month ago. The range of individual estimates for this year and the next remained unchanged. Both extreme values declined by 0.1 percentage point this year, while the minimum and maximum of the outlooks for next year remained unchanged.

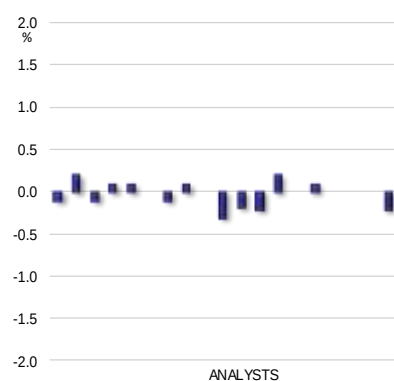
The CZSO also published the sectoral accounts at the end of September, showing that (despite the downward revision of GDP) real household consumption per capita rose by 0.3% quarter on quarter. The analysts consider this to be good news, as it could be an indication that it has bottomed out. On the other hand, they see the rising saving rate, at its highest level since 2021 (18.8%), as indicating that households have not yet fully recovered from their fear of spending. Household consumption is regarded as a crucial element for the Czech economy to return to its pre-pandemic level. By contrast, the corporate profit rate rose to 49%, and the corporate investment rate is also higher in quarter-on-quarter terms.

Despite some positive signals, only economic stagnation is expected for this year as a whole. At the same time, the risks are tilted to the downside, due, for example, to weaker demand in industry and persisting uncertainty about the rate of recovery of household consumption.

According to the CNB's autumn forecast, GDP will decline by 0.4% in 2023 and grow by 1.2% in 2024.

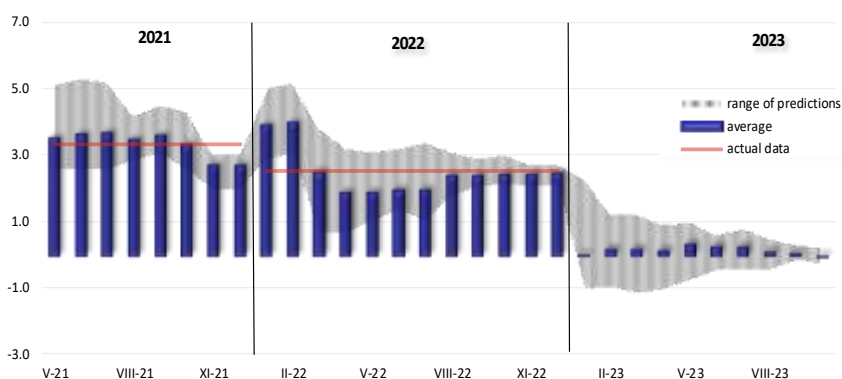
INDIVIDUAL 1Y PREDICTIONS

OUTLOOK FOR THIS YEAR



GDP GROWTH AT END OF YEAR

AVERAGE AND RANGE OF PREDICTIONS



IV. INTEREST RATES – 2W REPO, PRIBOR, IRS

FORECASTS: MINIMUM, AVERAGE AND MAXIMUM 2W REPO, 12M PRIBOR, 5Y AND 10Y IRS

(%)

October 2023	2W repo rate		12M PRIBOR		5Y IRS		10Y IRS	
	1M	1Y	1M	1Y	1M	1Y	1M	1Y
minimum	6.75	3.50	6.30	3.75	4.20	2.81	4.00	2.36
average	6.94	4.78	6.64	4.58	4.38	3.67	4.30	3.58
maximum	7.00	5.75	7.00	5.40	4.50	4.50	4.60	4.40

FORECAST FOR 2W REPO, 12M PRIBOR AND 5Y AND 10Y IRS

(%)

Date of Prediction	2W repo rate		12M PRIBOR		5Y IRS		10Y IRS	
	1M	1Y	1M	1Y	1M	1Y	1M	1Y
X.22	7.02	5.87	7.38	5.96	5.50	4.68	5.12	4.46
XI.22	7.01	6.00	7.43	5.99	5.43	4.80	4.97	4.67
I.23	7.00	5.85	7.27	5.69	4.73	4.26	4.32	4.07
II.23	7.00	5.75	7.20	5.49	4.83	4.29	4.40	4.06
IV.23	7.00	5.56	7.18	5.34	4.98	4.22	4.53	4.09
VI.23	7.00	5.43	7.14	5.29	4.67	4.05	4.27	3.88
IX.23	7.00	4.90	6.89	4.70	4.42	3.74	4.17	3.61
X.23	6.94	4.78	6.64	4.58	4.38	3.67	4.30	3.58

ACTUAL INDICATOR VALUES AS OF FORECAST DEADLINE

(%)

	2W repo rate	12M PRIBOR	5Y IRS	10Y IRS
15.10.	7.00	6.60	4.34	4.39

This time, four respondents were expecting the CNB Bank Board to decide at its November meeting to lower the 2W repo rate by 25 basis points to 6.75%. This view was probably supported by the publication of September inflation, which reinforced the assumption that it is appropriate to respond to the current fundamental state of the economy by lowering key interest rates. However, all the other respondents continued to expect stability, meaning leaving the 2W repo rate at 7.00%.

Speculation about the first cut in key interest rates is increasing. On the one hand, an increasing number of respondents believe that the time has come to lower them, as also indicated by the CNB forecast. On the other hand, we have the precautionary approach of part of the CNB Bank Board, whose rhetoric is that it will be necessary to keep rates at strict levels for longer. Thus uncertainty remains high, and overall the analysts estimate that the first cut in the CNB's key rates may occur in a relatively wide time range between this November and the end of 2024 Q1.

ANALYSTS' FORECAST – 2W REPO RATE LEVEL IN 1Y

(%)

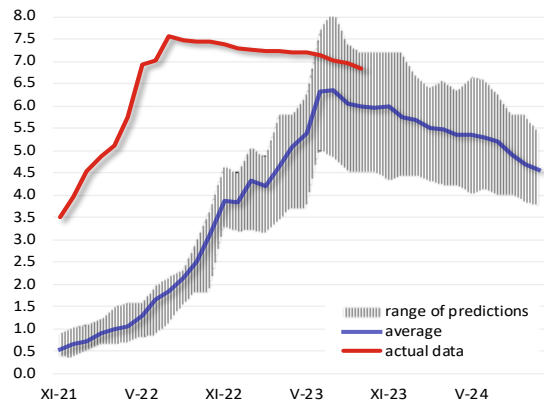
2W repo rate level in 1Y (%)	3.50	3.75	4.00	4.25	4.50	4.75	5.00	5.25	5.50	5.75
number of analysts - current survey	1	0	2	2	3	2	2	3	0	3
-previous survey	0	0	3	0	5	1	3	2	1	0

Market interest rates have again shown mixed trends since the cut-off date of the previous survey, and the analysts' forecasts in our survey recorded similar mixed changes. The biggest downward shift was recorded by the PRIBOR interbank reference rate and its one-month forecast. By contrast, market swap rates recorded an increase, more so with the 10Y IRS rate. The one-month 10Y IRS forecast accordingly increased, but the other swap rate forecasts were revised slightly downwards. The shape of the expected yield curve remains inverted at both the one-month and one-year horizons, yet the negative slope has flattened out in recent months.

The CNB's autumn forecast implies a 2W repo rate of 3.4% in 2024 Q4.

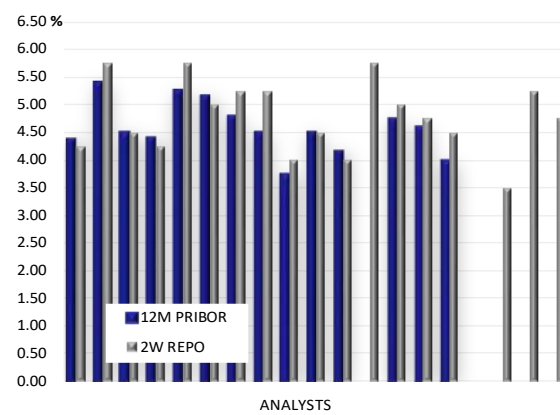
12M PRIBOR AT 1Y

ACTUAL DATA, AVERAGE AND RANGE OF PREDICTIONS



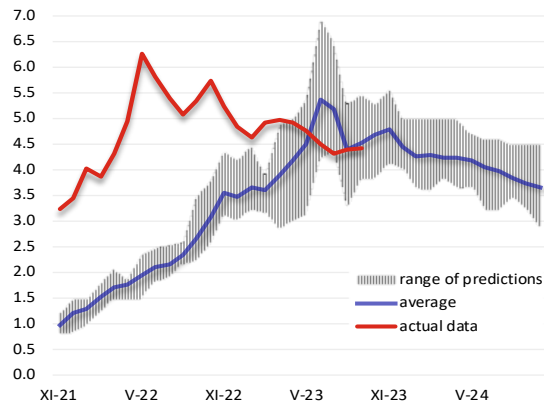
2W REPO AND 12M PRIBOR AT 1Y

PREDICTIONS OF INDIVIDUAL ANALYSTS



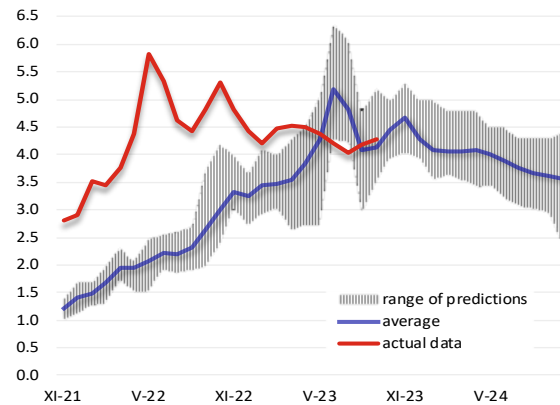
5Y IRS AT 1Y

AVERAGE AND RANGE OF PREDICTIONS



10Y IRS AT 1Y

AVERAGE AND RANGE OF PREDICTIONS



V. EXCHANGE RATE

1M AND 1Y EXCHANGE RATE FORECAST

	1M	1Y
X.22	24.61	25.07
XI.22	24.50	24.88
I.23	24.12	24.39
II.23	23.84	24.33
IV.23	23.47	24.07
VI.23	23.74	23.94
IX.23	24.16	24.16
X.23	24.57	24.41

EXCHANGE RATE FORECAST

October 2023	EUR/CZK	
	1M	1Y
minimum	24.40	23.25
average	24.57	24.41
maximum	24.90	25.60

ACTUAL EUR/CZK AS OF FORECAST DEADLINE

15.10.	24.67
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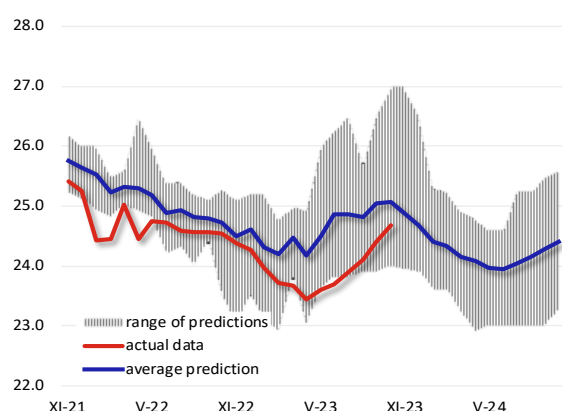
The koruna exchange rate further weakened slightly, moving from CZK 24.51 to CZK 24.67 to the euro. This weakness was largely due to the publication of the lower-than-expected September inflation and related speculation on a cut in key interest rates later this year. The fact that debate on the timing and pace of the cut in key rates has already begun at the CNB was confirmed by the governor's statements after the September monetary policy meeting of the CNB Bank Board and the minutes of that meeting. CNB Board member Tomáš Holub also did not rule out the possibility of a cautious cut in rates by the end of this year. Moreover, Governor Aleš Michl publicly admitted that the Bank Board was keeping the door open for every eventuality.

In view of the above, and especially of the latest economic developments, analysts believe that the koruna exchange rate will be close to CZK 24.57 to the euro in mid-November. According to the average estimate, over the subsequent eleven months the koruna should show a gradual strengthening trend to CZK 24.41 to the euro.

The CNB's autumn forecast assumes a koruna exchange rate of CZK 24.4 to the euro in 2024 Q4.

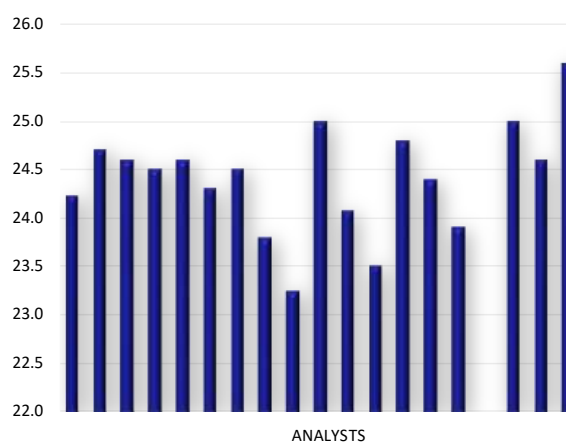
EUR/CZK

ACTUAL DATA, 1Y PREDICTIONS AND THEIR RANGE



EUR/CZK AT 1Y

PREDICTIONS OF INDIVIDUAL ANALYSTS



VI. NOMINAL WAGES

FORECAST FOR NOMINAL WAGE GROWTH

(%)

October 2023	current year	current+1Y
minimum	7.2	5.1
average	8.2	6.6
maximum	9.4	8.0

FORECAST FOR NOMINAL WAGE GROWTH

(%)

Date of Prediction	current year	current+1Y
X.22	7.0	8.0
XI.22	6.6	7.6
I.23	8.1	5.5
II.23	7.9	5.9
IV.23	8.2	6.0
VI.23	8.7	6.5
IX.23	8.8	6.8
X.23	8.2	6.6

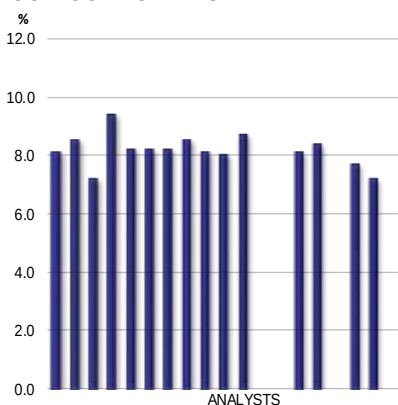
At the end of September this year, the Czech Labour Office registered 263,000 job applicants, 2,000 more than a month ago and almost 7,000 more than last year. The unemployment rate was unchanged from August, at 3.6%. This is 0.1 percentage point higher than a year ago. The number of vacancies (almost 282,000) still exceeds the number of job applicants. According to Eurostat, the unemployment rate in the Czech Republic is among the lowest in the EU at 2.6%.

Although economic performance is now weaker and the outlook slightly less optimistic, analysts are not seeing employers making many layoffs due to falling demand. This is probably due to concerns about difficulties in employing new staff again. The upcoming labour market situation will probably also reflect firms' expectations regarding future developments. If the recovery is slower and later, firms might be less willing to bear the costs of maintaining their labour force and could commence layoffs, thereby weakening the position of employees in wage bargaining. Compared to the previous survey, analysts have thus revised the expected wage growth rate this year quite significantly. While they expected a rate of 8.8% in September, they now estimate only 8.2%. The outlook for next year also decreased from 6.8% to 6.6%.

According to the CNB's autumn forecast, nominal wages are expected to rise by 7.5% in 2023 and by 6.7% in 2024.

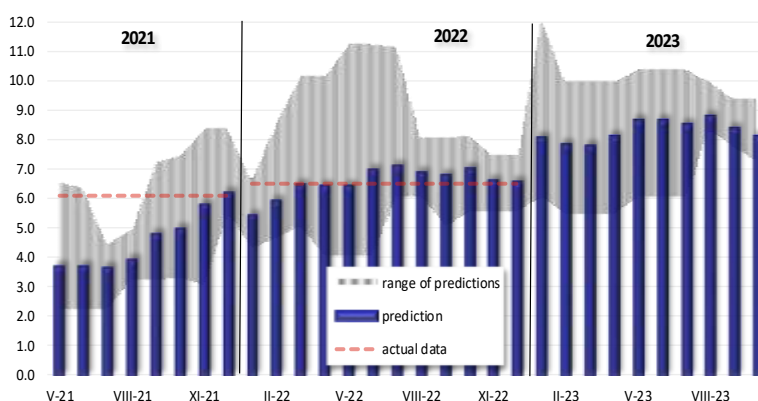
INDIVIDUAL 1Y PREDICTIONS

OUTLOOK FOR THIS YEAR



NOMINAL WAGE GROWTH

END OF CURRENT YEAR: AVERAGE AND RANGE OF PREDICTIONS (%)



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